

Even as the number of agents grows, the insurer has started seeing the results of investing in the health segment with premiums growing by 15.8 per cent in Q2FY23 compared to 8 per cent in Q1FY23. Dasgupta said in an analyst call that ICICI Bank (a sister company) has also restarted distributing indemnity policies on the home side. Also, with the rise in credit disbursements, the attachment business (upselling loan insurance) has picked up.

As per Irdai, the penetration of general insurance in India in FY22 was nearly 1 per cent, and it has announced a target of 2.52 per cent by 2027. Health insurance is going to play an important role in this growth path, especially post-Covid-19. Per a report from Research-AndMarkets.com, India's health insurance market is pegged at \$122.11 billion in 2022, which is expected to reach \$198.45 billion by 2027 at a CAGR of 10.2 per cent. Calling the opportunity in health enormous, Balachandran says that although health insurance covers out-of-pocket spends, it is not meaningfully utilised. "That's an area we are significantly looking to tap into for its potential," he adds. ICICI Lombard's Cashless OPD policy numbers have grown from an average of 4,400 policies per month to 8,200 policies by the end of H1FY23.

60 | **A RATIO OF LOSS**

As the setting sun starts glaring through the tinted windows, Dasgupta is quick to call his assistant to draw the curtains so that the ambience in the room feels comfortable. Once the curtains are drawn, he starts talking about the pain points of post-Covid-19. Apart from a surge in elective surgeries, the industry has been seeing an increase in the frequency of regular medical and critical cases. "Apart from electives, the frequency of normal medical cases has increased. Even for ailments like cancer, we are seeing a higher frequency than pre-Covid-19. In terms of people falling sick and going to the hospital, that percentage has gone up, too," he says.

Prasun Sikdar, MD and CEO of ManipalCigna Health Insurance, agrees with the trend. "The claim ratio, while stable in the first two quarters of CY22, has seen a steep increase from September onwards. The increase is due to high incidence rates across ailments, especially planned surgeries and critical ailments."

Accordingly, the loss ratio in the health segment (along with travel and PA) for ICICI Lombard increased to 81.8 per cent in Q2FY23 from 71.4 per cent in Q2FY22, and its overall claim ratio increased to 72.8 per cent in Q2FY23 from 69.8 in Q2FY22. Moving in tandem, its combined ratio also continued to be high at 105 per cent in H1FY23. It was at 108.8 per cent in FY22 against 99.8 per cent in FY21 due to the second wave of the pandem-



"We need to make sure that from 3 per cent, we get to 8 per cent in retail health. That's the road map"

GOPAL BALACHANDRAN
CFO & CRO,
ICICI LOMBARD



"I am not ruling out inorganic growth but to acquire just to become No. 1 is not our philosophy. Our philosophy is to really work hard to build a long-term 100 years' system"

TAPAN SINGHEL
MD & CEO,
BAJAJ ALLIANZ GENERAL
INSURANCE



"The claim ratio [in the health segment], while stable in the first two quarters of CY22, has seen a steep increase from September onwards due to high incidence rates across ailments"

PRASUN SIKDAR
MD & CEO,
MANIPALCIGNA HEALTH
INSURANCE